

Honnavar Port Private Limited

March 31, 2026

Facilities/Instruments	Amount (₹ crore)	Rating ¹	Rating Action
Long Term Bank Facilities	500.00	CARE BBB-; Stable	Reaffirmed

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

The reaffirmation of the long-term rating assigned to the bank facilities of Honnavar Port Private Limited (HPPL) reflects the presence of an established promoter group and strong business synergies through shared infrastructure and a common treasury function, along with demonstrated management and financial support from the parent, GVPR Engineers Limited (GVPREL). Comfort is also derived from the Sponsor Support Undertaking to be extended by GVPREL, in line with financing agreement terms, towards project cost overrun, timely equity infusion and assistance in debt servicing in the event of cash flow shortfalls, including those arising from lower-than-anticipated cargo throughput, for the entire tenure of the loan. CARE Ratings Limited (CareEdge Ratings) expects continued sponsor support during the project implementation phase and until stabilisation of operations.

The rating further factors in achievement of financial closure in September 2025, the favourable port location with proximity to major mining belts in Karnataka, resolution of litigations, receipt of environmental clearance, and sponsor support through fund infusion amounting to 32% of the overall project commitment at the nascent stage.

However, the rating strengths are tempered by delays in project commencement due to prolonged regulatory approval timelines, the project's nascent stage of development, marketing risks post project completion, and inherent interest rate risk. The company received Environmental Clearance in December 2024 and pre-construction work commenced in August 2025. Subsequently, civil works commenced from January 2026 onwards. Out of overall project cost of Rs.789.59 crore, HPPL has incurred an amount of Rs.80 crore as on December 31, 2025, financed entirely through the promoter's contribution and debt drawal pending as on said date. The project is envisaged to be completed by September 2027.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors

- Substantial project progress as per envisaged timelines.
- Achievement of envisaged cargo volumes at above 70% on a consistent basis.

Negative factors

- Significant time and/or cost overruns in the project, impacting the credit profile.
- Adverse variations in the credit profile of the sponsor.
- Non-receipt of the envisaged sponsor support in a timely manner

Analytical approach:

Standalone, factoring in linkages with the parent, GVPR Engineers Limited (GVPREL).

Outlook: Stable

The stable outlook is based on the expectations of project completion within the scheduled timeline as well as business growth, supported by the strong and experienced promoter, GVPREL.

¹Complete definition of ratings assigned are available at www.careratings.com and other CARE Ratings Limited's publications.

Detailed description of key rating drivers:**Key strengths****Experienced promoter and diversified order book in the construction industry**

GVPREL has over 28 years of experience in the engineering, procurement, and construction (EPC) segment, with execution capabilities across water resource management, lift irrigation, sewage treatment plants (STPs), electricity, and drinking water projects.

The company reported a robust order book of ₹18,637 crore as on January 31, 2026 (as against Rs.11,817 crore as on October 31, 2024), providing healthy medium-term revenue visibility. The order book is geographically diversified across ten states, with segment-wise exposure to water supply (52%), irrigation (19%), sewage treatment (10%), industrial corridor development (13%), and electrical works (5%). Most contracts include in-built price escalation clauses, which mitigate the impact of adverse raw material price volatility.

GVPREL reported a revenue compound annual growth rate (CAGR) of 29% during FY21–FY25. Revenue increased significantly from ₹1,411 crore in FY21 to ₹4,005 crore in FY25. There was slight moderation in revenue from ₹4,268 crore in FY24 to ₹4,005 crore in FY25 (around 6% decline), this was mainly due to the extended monsoon and impact of state elections in Maharashtra, which accounts for a significant share of the company's order book. Despite the moderation in revenue, the operating margin improved from 8.52% in FY24 to 9.35% in FY25. Margins were lower in FY24 due to execution of select low-margin projects, while normalisation in FY25 was driven by a more favourable project mix. Operating margin further improved to 11.33% in 9MFY26.

The financial profile has also been comfortable with TOL/TNW of 0.84x as on March 31, 2025, and a debt/EBITDA of 1.61 in FY25. The credit profile is also supported through large liquid funds of Rs.1,322 crore as on December 31, 2025.

GVPREL has balance investment commitment of Rs.193 crore in two project SPVs (HPPL and the smart meter project in West Bengal) which is expected to be comfortably met through cash accruals.

Strong linkages with parent entity

HPPL is a subsidiary of GVPREL, which holds a 94% equity stake. The parent provides management and operational support to HPPL, and the company has access to the group treasury, enhancing financial flexibility.

The promoters have infused approximately 32% of the committed equity through equity infusion and unsecured loans aggregating ₹79.48 crore as on December 31, 2025. In terms with the financing Agreement of Power Finance Corporation Ltd (PFC) for loans availed by HPPL, Sponsor shall provide an undertaking before the debt drawal. The sponsor undertaking shall cover commitments towards timely equity infusion, support for cost overruns, and assistance in debt servicing in the event of cash flow shortfalls, including those arising from lower-than-anticipated cargo throughput, for the entire tenure of the PFC loan. GVPREL is also likely to extend a corporate guarantee for a limited period of 2–3 years from commencement of operations, as per PFC requirement.

Commencement of construction

HPPL has obtained key approvals and clearances, including coastal regulatory clearance, no objection certificate (NOC) from the Grama Panchayat Corporation Limited, power sanction from Hubballi Electrical Supply Company Limited, and environmental clearance. Following the expiry of the earlier environmental clearance in September 2024, the company received a fresh environmental clearance on December 31, 2024, enabling commencement of port construction. Post receipt of the environmental clearance, there are no major pending approvals.

HPPL achieved financial closure on September 24, 2025, with debt of ₹540.64 crore sanctioned by PFC. Pre-construction activities, including dredging and breakwater works, have been completed, and civil construction commenced from January 2026 onwards, reducing execution and regulatory risks.

Strategic location of the port

The port enjoys a locational advantage on the west coast of India in Karnataka, with proximity to major mining districts. With a designed throughput capacity of 4.9 million metric tonnes per annum (MMTPA), the port is envisaged to handle bulk cargo such as coal, iron ore, steel, and granite.

The port is well positioned by road to the iron ore-rich Bellary–Hospet belt and the granite-rich Chitradurga–Tumkur belt, which support demand from steel plants and thermal power stations. Road connectivity is supported by National Highway 66 (NH-66), located around 2.58 km from the port, with a four-lane access road under the Bharatmala project.

Rail connectivity is relatively limited, as although Honnavar railway station is around 5 km from the port, linkage between the Konkan Railway line and the South-Western Railway network remains constrained. However, the National Highways Authority of India (NHAI) is extending the four-lane connectivity to improve linkage with rail infrastructure. The company is also in discussions with Konkan Railway for roll-on roll-off (Ro-Ro) services to support cargo evacuation.

Key weaknesses**Limited port capacity and draft constraints**

HPPL is constructing a minor port on the west coast with a limited capacity of 4.9 million tonnes per annum (MTPA). The port is likely to cater largely to coastal cargo, with higher dependence on coal, followed by iron ore, steel, and granite, supported by proximity to the Bellary–Hospet belt (around 380 km).

The envisaged draft of 10 metres restricts the port's ability to handle large-sized vessels, thereby limiting cargo handling flexibility and scalability. This constrains diversification of cargo mix and may restrict the port's competitive positioning in the medium term.

Significant project execution risk

The port was originally allotted in 2011 by the Government of Karnataka (GoK); however, execution was delayed due to regulatory approvals and litigation pending with the National Green Tribunal (NGT). HPPL represents the first greenfield project undertaken by the sponsor, GVPREL, under the build-operate-transfer (BOT) framework.

Project implementation risk is perceived high as the project is at a nascent stage, with only pre-construction activities and limited civil works completed. The aggregate project cost is estimated at ₹789.58 crore (revised from ₹702 crore envisaged earlier) and is financed at a debt-to-equity ratio of 2.17:1.

Pre-construction works commenced in August 2025, and financial closure was achieved in September 2025. The project is targeted to be completed by its SCOD of October 2027; any delay beyond this timeline could adversely impact cash flow visibility and debt servicing ability. Sponsor support to meet any such shortfall in a timely manner shall be crucial.

Cargo evacuation risk

Absence of direct rail connectivity increases cargo evacuation risk for the port. Rail-based connectivity to the hinterland remains weak and logistically unfeasible due to limited linkage between Konkan Railway and South-Western Railway networks.

As a result, nearby ports such as Mormugao, Krishnapatnam, and New Mangalore are relatively more viable for cargo movement to and from the hinterland, which could constrain cargo ramp-up and utilisation levels at HPPL, especially in the initial years of operations.

Liquidity: Adequate

The company's liquidity profile is expected to remain adequate, supported by the sponsors' comfortable financial position and availability of liquidity for timely contribution towards project funding. Sponsor support during the project execution phase and an extended repayment tenor of 132 structured monthly instalments, with a six-month moratorium post achievement of COD, are expected to provide cushion to cashflows and adequate time for stabilisation.

Assumptions/Covenants: Not Applicable

Environment, social, and governance (ESG) risks: Not Applicable

Applicable criteria

[Definition of Default](#)

[Factoring Linkages Parent Sub JV Group](#)

[Liquidity Analysis of Non-financial sector entities](#)

[Rating Outlook and Rating Watch](#)

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[Financial Ratios – Non financial Sector](#)

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About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Services	Services	Transport Infrastructure	Port & Port services

HPPL is formed under the consortium of GVPREL and North Canara Seaports Private Limited. The company was incorporated on March 30, 2010, having its registered office in Bengaluru. HPPL is setting up a greenfield minor port on the west coast of India (in Uttar Kannada, Karnataka), which is envisaged to handle 4.9 MTPA throughput. HPPL entered a lease agreement with the GoK on March 14, 2018, for usage of the land for port-related activities for 30 years. The project's cost is ₹789.59 crore, being funded through a debt-to-equity ratio of 2.17:1.

Brief Financials: Not Applicable for Project Stage Entities

Status of non-cooperation with previous CRA: Not Applicable

Any other information: Not Applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

Complexity level of instruments rated: Annexure-4

Lender details: Annexure-5

Annexure-1: Details of instruments/facilities

Name of the Instrument	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Fund-based - LT-Term Loan		-	-	01-03-2039	500.00	CARE BBB-; Stable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024	Date(s) and Rating(s) assigned in 2022-2023
1	Fund-based - LT-Term Loan	LT	500.00	CARE BBB-; Stable	-	1)CARE BBB-; Stable (22-Jan-25)	1)CARE BBB-; Stable (05-Dec-23)	1)CARE BBB-; Stable (12-Jan-23)

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not Applicable**Annexure-4: Complexity level of instruments rated**

Sr. No.	Name of the Instrument	Complexity Level
1	Fund-based - LT-Term Loan	Simple

Annexure-5: Lender details

To view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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